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## M. B. A. (Third Semester) Examination, Nov.-Dec. 2018

**(New Scheme)**

**(Management Branch)**

**(Specialization : Finance Management)**

**TAXATION and TAX PLANNING (New)**

***Time Allowed : Three hours***

***Maximum Marks : 80***

***Minimum Pass Marks : 32***

***Note :*** *Attempt questions of all **two** sections as directed. Distribution of marks is given with sections.*

### Unit-I

**1.** (a) Following are the taxable incomes of Shri Ratan Chand for previous year 2014-15 :



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| | ₹ |
|---|---|
| 1. Income from salary accrued and received in India | 20,000 |
| 2. Profit of a hotel business at Melbourne | 30,000 |
| 3. Dividend declared in Perth but received in India | 4,000 |
| 4. Income from transfer of a long-term capital asset situated in India | 20,000 |
| 5. Interest on debentures of a company at Manchester which was received in India | 6,000 |
| 6. Interest received from Shri Philip, a non resident on the loan provided to him for a business carried on in India | 5,000 |
| 7. Royalty received is Germany from Shri Kailash a resident in India for technical services provided for a business carried on in Germany | 20,000 |
| 8. Fees from an Indian Company carrying on business at London from technical services rendered at London having | |



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been directly deposited by the company in his bank account in India 30,000

Compute Shri Ratan Chand's Total Income for the Assessment Year 2015-16, if he is :

(i) Resident

(ii) Not Ordinarily Resident

(iii) Non Resident

(b) Mr. 'N' is an Indian citizen but not ordinarily resident in India. Discuss the assessability of the following items of the receipts :

(i) ₹ 1,80,000 were earned from a business in America and the profits have been remitted to India. The assessee operated the business only when he was in America.

(ii) Remuneration of ₹ 1,50,000 due to him for services rendered in American Company was credited to his bank account in America and immediately thereafter remitted in India.

(iii) Capital gains ₹ 2,85,000 from transfer of house in America and ₹ 3,30,000 transfer of plot situated in Delhi in India.

(iv) Salary earned in America ₹ 4,50,000.



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(v) Agricultural Income, land situated in Jaipur (Rajasthan) ₹ 5,50,000.

(c) Following are the income of Shri Amarnath for the financial year 2014-15 :

| | ₹ |
|---|---|
| 1. Interest on Savings Bank deposit in Allahabad Bank, Delhi | 1,200 |
| 2. Income from agriculture in Africa invested in Nepal | 10,000 |
| 3. Dividend received in U. K. from an Amerian company, out of which ₹ 2,000 were remitted to India | 10,000 |
| 4. Salary income for three months for working in Indian Embassy's office in Australia and salary received there | 72,000 |
| 5. Income from house property (The building is situated in Pakistan out of which ₹ 10,000 deposited in a bank in Pakistan and the balance remitted to India) | 15,000 |
| 6. Pension income in Belgium for services rendered in India with a limited company | 20,000 |



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You are required to compute his gross total income for the assessment year 2015-16 if he is :

(i) A resident

(ii) Not ordinarily resident

(iii) Non resident

## Unit-II

2. (a) Mr. Rang Rajan was appointed is a company of Chennai on the grade ₹ 5,500-100-7,500 since 1st Jan. 2011 :

He receives 50% dearness allowance. Beside this he is getting ₹ 7,500 per month entertainment allowance. In terms of services he is required to entertain the clients of the company. He receives also house rent allowance ₹ 800 per month. He has taken a flat at the rent ₹ 2,000 per month. The company provided him a sweeper, cook and gardener and paid them ₹ 200 per month each.

He has been provided two motor-car, one of these is large and another small. The cars are used in personal use also. The company bears the expenses for official use only. The cost of large car is ₹ 6,00,000 and of small car is ₹ 3,00,000. The expenses relating to car



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are ₹ 80,000 and ₹ 60,000 respectively. The employer & employeee each contributed 8·33% of salary and dearness allowance to recognised provident fund.

Compute income from salaries for the assessment year 2015-16 assuning that slary is due at the end of the month. The company has entered into an agreement with him to pay tax free salary. So the company has paid ₹ 3,400 income tax payable by him.

(b) Mr. 'X' was working in a factory in Delhi. He get ₹ 4,000 per month basic pay; ₹ 400 per month as dearness allowance and ₹ 250 per month as house rent allowance. He resides in his own house. He get ₹ 4,000 as travelling allowance and for taxi.

He retired on 1st January, 2015 and got ₹ 40,000 as gratuity and ₹ 50,000 as accumulated balance in his unrecognised provident fund. His own contribution and that of the factory to the fund was equal. He also received ₹ 44,000 being the amount of salary including dearness allowance for 10 months earned leave to his credit at the time of retirement have alloted at 30 days per year of actual service.

He was allowed to get pension of ₹ 1,000 per month, three forth of which was commuted for ₹ 30,000.



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He commenced service of the factory on 1st August, 1980 and his average salary during the ten months immediately preceding his retirement was ₹ 3,900. Compute the taxable income from salary of Mr. 'X' for the assessment year 2015-16.

(c) Mr. 'X' is the owner of a big house whose municipal valuation is ₹ 36,000 per annum. 1/3rd portion of the house is let out to a tenant at ₹ 1,600 per month for residential purpose and remaining 2/3 portion is occupied by him for his own residence. The construction of the house started in June 2010 and was completed on Nov. 1st 2012. The house is subjected to the local taxes of ₹ 3,600 per annum which are unpaid. The other expenses in respect of the house are as follows :

| | ₹ |
|---|---|
| Insurance Premium | 600 |
| Property tax to state Government | 720 |

Mr. 'X' had taken a loan of ₹ 50,000 on 1st July, 2010 for the construction of the house. The loan has not yet been paid and an interest @ 12% per annum is payable on it.



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Find out X's income from House Property for the assessement year 2015-16.

## Unit-III

3. (a) The following is the Profit and Loss Account of Mr. 'X' for the year ended 31st, March, 2015. Compute his taxable income from business for that year :

| | ₹ | | ₹ |
|---|---|---|---|
| Opening stock | 15,000 | Sales | 2,80,000 |
| Purchases | 1,40,000 | Closing stock | 20,000 |
| Wages | 20,000 | Gift from father | 10,000 |
| Rent | 46,000 | Sale of Car | 17,000 |
| Repair of Car | 3,000 | Income tax refund | 3,000 |
| Medical expenses | 3,000 | | |
| General expenses | 10,000 | | |
| Depreciation of car | 4,000 | | |
| Profit for the year | 89,000 | | |
| | 3,30,000 | | 3,30,000 |

Following further information is given :

1. Mr. 'X' carries on his business from a rented premises half of which is used as his residence.



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2. Mr. 'X' bought a car during the year for ₹ 20,000. He charged 20% depreciation on the value of the car. The car was sold during the year for ₹ 17,000. The use of the car was 3/4th for the business and 1/4th for personal use.

3. Medical expenses were incurred during the sickness of Mr. 'X' for his treatment.

4. Wages include ₹ 250 per month on account of Mr. 'X's driver for 10 months.

(b) Mr. Ajay sold some of his property during the year 1.4.2014 to 31.3.2015 as under :

1. Jwellery costing ₹ 80,000 (which was acquired in June, 2012) was sold for ₹ 1,00,000 is May, 2014.

2. House at Kolkata : Let out for residential purposes. It was inherited by him in 1964. Sale price on 31.10.2014 ₹ 14,00,000. Fair market value on 1.4.1981 ₹ 1,00,000. Cost of improvement made during 1989-90, ₹ 25,000. Expenses on transfer are ₹ 25,000.

3. Household furniture costing ₹ 14,000 in 1999 was sold in March, 2015 for ₹ 26,000.



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4. Car was sold on 1.12.2014 for ₹ 45,000, its written down value on 1.4.2014 was ₹ 38,000.

5. Self cultivated land was compulsorily acauired under a law for ₹ 7,00,000 on 1.1.2015 and it cost in 1982-83 was ₹ 65,400.

Compute his total capital gain. Cost inflation indices are 1981-82-100, 1982-83-109, 1989-90-172 and 2014-15-1024. https://www.csvtuonline.com

(c) Following are the particulars of income of Smt. Kiran :

| | | ₹ |
|---|---|---|
| (i) | Interest received on Government securities | 9,000 |
| (ii) | Dividend received from a foreign company | 8,000 |
| (iii) | Amount received from winning of lottery | 66,500 |
| (iv) | Winning from wager | 25,000 |
| (v) | Income from letting on hire the private car (letting on hire of car is not the business of Smt. Kiran) | 40,000 |
| (vi) | Family pension (per month) | 1,500 |

She incurred following expenditures :

(i) Interest paid on loan taken to purchase shares and securities ₹ 7,000.



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(ii) Bank commission paid @ 2% for collecting dividend and interests.

(iii) Spend (asing lottery tickets)

(iv) Expenses of the private car for the period during which it was let out ₹ 12,000 (including depreciation)

Compute the income of Smt. Kiran under the head 'Income from Other Sources for the assessment year 2015-16.

## Unit-IV

4. (a) Explain the deduction regarding :

(i) 80 DDB

(ii) 80 C

(iii) 80 EE

(iv) 80 CCG

(b) Mr. Hanuman Prasad submits the following relevant for the assessment year 2015-16 :

| | ₹ |
|---|---|
| Income from units of M. F. | 20,000 |
| Profits of business | 12,000 |
| Short-term capital gains | 25,000 |



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| | |
|---|---|
| Long-term capital gains | 7,500 |
| Income from owning and maintaining race horses | 25,000 |
| Income from crossword puzzle | 28,000 |
| The following items have been brought forward business loss (from A. Y. 2013-14) | 17,000 |
| Unabsorbed depreciation (from the A.Y. 2013-14) | 8,000 |
| Long-term capital loss in respect of the assessment year 2011-12 | 42,000 |
| Brought forward loss from the activity of owning and maintaining race horses for the A. Y. 2013-14 | 35,000 |
| Speculation losses of the assessement year 2012-13 | 20,000 |

Find out the gross total income of Mr. Hanuman Prasad for the A. Y. 2015-16.

(c) 'X', 'Y', 'Z' are three equal partners in a firm of which 'Z' is sleeping partner. The firm P & L account for the year ended 31st March, 2015 is given below :



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Profit & Loss Account

(for the year of ended 31.3.2015)

| | ₹ | | ₹ |
|---|---|---|---|
| Salaries | 32,000 | Gross Profit | 2,32,000 |
| Rents, Rates etc. | 10,000 | Discount | 8,800 |
| Advertisement | 12,000 | | |
| Bad Debt Reserve | 4,800 | | |
| Depreciation | 8,000 | | |
| Fire Insurance Premium | 2,000 | | |
| Partners' salaries | | | |
| X 16,000 | | | |
| Y 12,000 | 28,000 | | |
| Commissions | | | |
| Y 8,000 | | | |
| Z 4,000 | 12,000 | | |
| Interst on Capital @ 10% | | | |



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| | | | |
|---|---|---|---|
| X | 2,000 | | |
| Y | 4,000 | | |
| Z | 6,000 | 12,000 | |
| Net Profit | | | |
| X | 40,000 | | |
| Y | 40,000 | | |
| Z | 40,000 | 1,20,000 | |
| | | 2,40,800 | 2,40,800 |

(i) Depreciation was excess debited by ₹ 2,000.

(ii) Rent includes rent of Z's is godown ₹ 2,400.

Compute book profit and firm's total income for the relevant A. Y. The firm fulfilled the condition of sec 184.

## Unit-V

5. (a) What do you understand by VAT? Explain its merits and demerits in detail.

(b) Distinguish between 'Tax Planning' and 'Tax Evasion'.



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(c) Define the following :

(i) Appropriate state

(ii) Place of business

(iii) Business

(iv) Dealer



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